The S&P 500 Isn't What You Think You're Buying

Podcast: Know your risk

AI Executive Summary

1. Core Thesis The episode argues that recent market stability (stock gains, bond yield stabilization) is driven by panic-fueled liquidity rather than economic fundamentals, with global markets becoming increasingly distinct from historical US indices due to top-heavy concentration and currency shifts. While "financial collapse" narratives persist on social media channels, the hosts suggest that central bank liquidity cycles are currently supported, but investors must pivot away from traditional cap-weighted US equity exposure toward tactical positions in commodities (metals, energy), international assets (Japan), and specific sectors better hedged against geopolitical risks.

2. Key Arguments & Data

3. **Market Performance:** S&P 500 up ~1%, Dow (~3% Qs) +1.2%, Russell ~1%; Dollar down 0.6% vs Yen +2% (Yen underpinning most moves); Volatility Index down to 16.2 (Front Month).
4. **Bond Market:** Yields flat following initial drop; stabilization attributed to Kyle "Kramer" Freaking out about bond yields creating a meme bottom. Debt rollover cycle is viewed as the current liquidity driver over M2.
5. **Valuation Concerns:** US markets are top-heavy; Tech + Chips ~65-70% of S&P 500 vs historically lower concentration. Snowflake trading at 40-60x Sales despite high growth; SpaceX and Mag 7 seen as speculative prop bets rather than value investments.
6. **Commodities & Metals:** Gold +2.5%, Silver +3%, Palladium +5.5% (Russia hedge); Oil time spreads widening (Brent vs WTI contracts blowing out); Uranium fundamentals constructive but volatile.
7. **Geopolitics:** Russia-Ukraine conflict escalating with sabotage in Germany (power plants, substations); CIA director unscheduled trip to Russia suggests rising tensions; market ignoring these developments ("market doesn't care").

8. **Inflation & Macro:** Services ISM Prices Paid highest in 4 years; Fed/Waller speech was dovish despite gas/diesel inflation pressures;

Debt cycle complicates global liquidity picture.

9. Actionable Takeaways

10. **Re-evaluate Index Exposure:** Traditional cap-weighted S&P 500 index funds may no longer represent the historical "entirety of the US market." Consider Cap-Weighted or Equal Weighted S&P ETFs to restore better long-term correlation with historical performance.
11. **Tactical Asset Allocation:** Increase exposure to International assets (specifically Japan/Yen positions), Metals, and Energy commodities to hedge against USD weakness and geopolitical instability.
12. **Monitor Specific Hedges:** Watch Palladium as a direct hedge against Russia-Ukraine escalation; monitor Oil time spreads for bullish signals on the physical market vs futures; maintain Uranium exposure despite volatility due to supply/demand fundamentals.
13. **Avoid Speculative Topiers:** Maintain skepticism regarding AI-heavy tech valuations trading at 40-60x sales without corresponding earnings, viewing them as "casino" prop bets rather than investments with intrinsic value.
14. **Track Debt Cycles:** Pay closer attention to the debt rollover cycle (debt maturing in future years requiring rate hikes) as it creates a different risk profile than current global liquidity surges.

Full Transcript

You know, the whole idea of buying an index fund was buying the entirety of the US market. If you're buying an index fund today, that's not what you're doing. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the Daily Dots, and I am joined as always by the brain trust himself, Mr. Chase Taylor. I don't really have these relatives for today. Rally, all of a sudden, it feels like we're in these one day panic zones where I was getting random text messages from people that I know, like, should we be afraid of bonds two days ago? Now there's no worries, right? There's no issue. Treasury's totally in control. So let's just start with the, and, you know, I don't want to blow our topics, but it doesn't surprise me at all for the people talking about the pending boom of the US dollar and the whole systems about ready to collapse. No, it's just another step toward total price controls and yields will be, you know, I'm of the belief that yields will be what the Treasury and the Fed want to be.

Um, and they will buy enough, but like, like, and again, I don't want to, but we'll go, we'll go get into the rundown, but people need to understand it's so funny. Like you say something or people hear, you know, Besson's statement and probably more accurately, people hear the, you know, assessment of Besson's statement and people are like, Oh, you know, I heard Alex Jones, we're approaching financial collapse and da, da, da. And you're like, no, no, it's, it's. Everybody's still looking at it wrong guys like

financial collapse the way that you mean it is like Depressionary bank collapsing all that kind of stuff we we've discovered if we don't want to deal with that anymore. We don't have to so Anyway, we can get more to that now. Let's let's go down to the rundown and see what's going on It's it is kind of funny that all of a sudden bonds have completely chilled out kind of makes you wonder if they've already begun open market operations Or if that's the market front running open market operations, but we can talk about that as we go on through this Yes, we have about 15 minutes left, but S&P's up a little over 1% equal way. It's only up 0.6 Q's up about 1.2 Small caps only up about 0.4 nice day for Bitcoin up over 5 Mag 7's up 2.63 So big day for Mag 7 all world X US is up 1% So kind of right there with the S&P the dollars down 0.6 and I would say the dollar Especially as it pertains to the yen is kind of the story of today That last check and it's been a few minutes, but the last check the yen was up 2% versus the dollars kind of kind of underpinning most of the moves today Inside of of mag 7 you have meta up about three and a half you have Microsoft up 2.8 And the big one is Tesla about six and I mentioned Tesla getting to a decent spot Where like it should have some struggles on the chart. Well Not today. So today, and that area is like right around 370 that looks problematic. And we're up to 378 today. It's just me. Interesting to see how that one closes the week. As far as bond yields go, the two years down about three basis points, the 10 and the 30 are essentially flat. They were down about two basis points earlier, but they've come back to basically flat on the pay. And I would posit that the reason bonds of at least stopped going down for two days is because literally two days ago Kramer freaked out about bonds. So that was sort of a, probably a meme bottom for bonds at least for a little bit. I missed that. I love a good Kramer freak out. What happened? Oh, he just talked about like, he just couldn't imagine how in the world we could get bond yields down and it's so bad. And he just freaked out about it. So you kind of knew bonds would probably stop having problems.

at least for a little bit when that happened. But I will say, oil's up 0.4 today. So it's not like it's oil's up big or anything, but it's not like the pressure from oil on yields is going away. You're at 91 bucks on VTI. And more importantly, on oil, time spreads are starting to really blow out. So spreads between the first month and second month, the contracts are... For Brent, it's actually the highest it's been since the war began, which is pretty intense.

The dated Brent versus Brent futures is starting to widen out again, meaning like the physical market getting more expensive compared to futures. And then if you look at, for WTI, the difference between the first contract and the sixth month contract, it's actually up to 14 bucks. So that's a pretty significant spread. So all those time spreads are looking really bullish, probably is China.

Gets back in there by some but gasoline futures are up 1.4% Threatening to kind of break out on the chart Great day for metals with the dollar getting smoked gold up two and a half silver a little over three Gdx the miners up four percent And we talked about palladium a couple days ago when it comes to Russia. That's up five and a half percent today And I definitely want to mention what's going on in Europe and with Russia before we before we get off today. I think it's It's a little under followed for financial market folks. So last but not least, well, I got a couple of things, I guess. So vol down another 2%, you're at 16.2 for front month, barely hanging onto 18 even for the second month. So very, very low vol. Interesting day in the AI trade, because you're actually down on DRAM a little bit, up a smidge on the semiconductor ETF, but blue energy is having a really nice day.

I don't know if you saw the, the economists cover that's coming out, but it's, it's Jensen Wang and they call him the sorcerer, sorcerer of silicon on it. So as much as, as much as Kramer may have marked a, a bottom for bonds short-term, I feel like, I feel like the economists was doing the AI trade and especially in video, no favors with their upcoming cover. Yeah. That meme, or that meme has been broke so many times, though. That's like, that's just, like, I trust the old news we cover now just as much as I trust threes and tens and birding, right? Like, I will, I will push back forcefully on this one. I hope so. As it pertains to the economist, so.

A lot of people like to throw in all these other ones, these other magazines and stuff, or like an article inside of the Economist. It has to be the Economist cover and it has to be taking like a, and I'm getting this from Brent Donnelly because he basically wrote the book on this, but it has to be like taking a firm stand on a particular thing. And then it usually plays pretty hard. And a perfect example of this is they basically had a very, very bullish oil cover. In the middle of the the crisis with the war and it nailed

nailed the top in oil. So like it's still alive in my opinion Yeah, okay, okay, then I will leave the I will leave the I will I will read redact that statement and I will leave the the newsweek indicators or excuse me economists news Economist indicators still in play. We'll say that Yeah, I I'll just continue to tell you, the more and more I look at the price action, up days, down days, all that kind of stuff in U.S. markets, I just, I continue to get less and less interested. Even on the good days, on the bad days, they just, the U.S. markets just continue to look more and more like a casino to me, like just SpaceX and that Tesla big, why? You go read the underlying news, some moron on Twitter said that now, you know, And then you go look at SpaceX and I, you know, we've, this has been covered so much. And to even make this statement now is like, just the ultimate water is wet statement. But, you know, I just, every once in a while, you pull up SpaceX, you look at that valuation. You're just like, I don't even know what to do with this stuff. You know, like, like snowflake. Don't do anything with it. I mean, no, you go look at a snowflake today. Hey, good looking quarter, I guess, 33% revenue growth. You do the underlying deal and they're trading at 60 times sales. I, what do I do with that?

You know, I don't know and I find it really odd and confusing that there are a bunch of people that have strong opinions on these things Like I don't know what that is. I don't know what a company trading at 50 to 60 times sales is I just don't and maybe that makes me stupid And maybe that makes me not a four and and and then the other two the other thing that I'm sitting there This kind of my cathartic moment if you will on the on the on the cast today It's just gotten exhausting. The ridiculousness of all of this. I like being in metals. I like being in international stocks where I feel like investing is still alive. I feel like the U.S. markets have become like a drunken ASB election. Just this day we're pushing for Tommy because Tommy's the one, oh, you got to have Tommy. Everybody loves him.

And then Tommy's passing out now and later or blowpops or whatever it is. And it's just swinging back and forth and Kramer's freaking out one day. I'm sorry, man. I just feel like our markets are becoming a joke. It's just laughable. You see it's something like master up 15% today. I don't even think that people trading these things actually even believe there's value anymore. I think that we're in such a cynical marketplace. I think the

majority of the people transacting in these stocks I think the majority of people outside of the retail people that believe in wouldn't know value if it smacked them in the face. But you look at a master, most of money trading in master, I don't think takes it seriously. I don't think it believes that it really owns anything. I think these are like prop bets on DraftKings. You know what I mean? Yeah. They're trading sardines. Yeah. Yeah, 100%. And at some point, that is going to engender really bad outcomes.

I'll, I'll be honest with you though. Well, it's really fair. It already has with MSTR and some of those, a lot of people have gotten wiped out on that kind of stuff. You know, Oh yeah, but they'll write it back up on a three X and they'll probably get into the run. All right. This is like, I've jokingly referred to this as the vampire bubble, right? Just because just when you think you've got it done, it's the only bubble that I've ever seen where trash was realized that it was total trash. It blows up. You see a 95 to 98% capitulation and then, Hey, when's it going to rally again? And then we reinflate it, right? Um, And, you know, I just, you know, obviously there's that danger of just having that self-reinforcing view where you're just looking at things or grabbing onto things that reinforces the way you see it already. I just see very little real investing going on in the United States, man. I don't hear a lot of people talking about it. And then I look at the things that people are scrambling over to buy and the valuations on them. And it's not angry. Like go ahead and have it.

I don't know if you sympathize at all, but just as it relates to the normal stuff or like you said the other day, the sexy stuff, right? The stuff that's on CNBC, everybody's talking about. I just, I have no opinion. I have zero interest. Like you said, I just see a bunch of guys flopping trading Sardines around and talking to how great the future is going to be. And I've just, I've never seen that end up well. That being said I also never would have dreamed that you'd see something like SpaceX priced at that I'd never dreamed that you'd see Tesla trying to make a run back to one and a half trillion dollar market cap You know, so I suppose I'll continue to be wrong So the way I view this is The beauty of the markets is there's a million things you can invest in yeah flavor the flavor of the month is 1% of it less than 1% of the things you can invest in so I just I just have a no kidding, who cares attitude? Other than maybe looking for a tactical short

opportunity and some of the nonsense, other than that, I just don't care what SpaceX does. I don't care what any of it does. Because I'm always going to be able to find something that does make sense to me that I do think can do well.

I know. And that's where I'm at. Like I said, I just, I get increasingly less interested each day. And the tough part about that is that, you know, when you're out there talking, you know, when you're doing shows and interviews and you're on other programs and stuff, you know, people think talking markets is talking about those stocks, right? Let's talk about what I heard people on CNBC talking about. And people are surprised a lot of times where I'm just like, now, what would he mean? No. Oh, I just talked about mobile home manufacturers. Yeah, yeah. Well, let's just talk about something interesting. I mean, cool. You guys want to bid a company like Snowflake up 22% on that earnings release? I don't even know what that earnings release numbers mean. The thing's already trading at 40 times sales. It appears to be a really good company, right? Like you said, when you go to trading Sardinland, okay, you can tell me the thing's going to 4X over the next 16 months. Sure. I don't know.

Zero opinion right like I again, I just I don't know you know I mean if if somebody came up and told me look I just bought a house across the bay from you It's on about a tenth of an acre. It's about 600 square feet three stories and it's got a little little Neighbors let me use a little detached, you know little detached Doc there picked that place up for 15 million got a real steal. I'd be like Hey, man, for your 10th of an acre and 600 square feet, buddy, I hope you're happy. I sure wouldn't pay that price. But, um, yeah, it's just kind of a, like I said, it's not, you know, not, I'm not, I'm not yelling for the kids to get off my yard by any stretch of the imagination. I just, I feel like you put it best. I just let just less and less interest. I Do am I making sense? It's just got to the point where I try to look at these things and I try to get an opinion on them one way or the other and then I look back at the revenue and I look at the growth that I look at the mark cap and I'm like, dude, I don't have an idea. I don't know how anybody does. You know, I don't really know how you can have a really strongly held bullish or bearish version on a company that's growing at 32% a year that's trading at 50 or 60 times sales. I just do what I'm saying like I I almost admire you if

you're a conviction short or a conviction long on something like that. Yeah, typically cap, man. I just don't know how you get there. Yeah, I could just sum it up with saying I don't care about those stocks at all. They just don't affect me in any way. There's such a small slice of the market that I can invest in. And they're not the only things that don't make sense. We've talked about banks before. I don't understand a bank well enough to, to want to invest in it. And there's other reasons I don't want to invest in them, but like, so I just don't, like I just don't really pay attention to them. So like this, these are in that same category. Yes. And you know, the crazy part of that. And look, this isn't anything new in human behavior, but I feel like it is very much a hallmark of this period of time, right? Like meaning, you know, something new happens on FinTwit and it's the old joke. Oh, all, now all of a sudden everybody's an oil transit expert, right? Or now everybody's a vaccine expert, right?

And you see more of that attitude reflected by and large today, right? More and more people are more willing to put their hand up and be like, oh, I'm the expert. Listen to what I have to say. And like you pointed out, you just don't care. When I listen to yeah, when I'm listening to these experts take expert takes on this and that I don't know man. I just get I get lost in the weeds sometimes Hey speaking of speaking of getting lost in the weeds Reading some things recently I Really think so much less and I was trying to explain this again on another podcast that we were on People were talking about the bond problem. People were talking about this problem. People were talking about that problem. And I go, look, this is going to be a really unsatisfying answer. And I'll tie this back together here. But, um, and I was like, look, this is going to be a really unsatisfying answer because I don't really think there is a bond problem. And they were like shocked when I said that, right? And I went, look, is there a bond? Yeah. I mean, you've got 6% deficits and 140% debt to GDP. That is a problem.

Okay, is that a problem that's going to disrupt your personal financial life in the next six months? Probably not. Probably not, right? Unless you're trying to buy a house or something like that. People are like, well, what do you mean? You know, Alex Jones is sitting there talking about financial collapse and you're sitting there going, okay, do you know what financial collapse means, right? If you have the ability to print the currency, did a bunch of the

debt, and I think it's really important to point this out, right? When you say financial collapse, what you're talking about is the fault cycle, right? You're talking about money going to money heaven, right? Debt's getting blown up, people defaulting on debts, and that money, people don't think that debt is money, but it is that money evaporating, right? And disappearing off balance sheets. Now all of a sudden you've got way too many liabilities, not enough capital, you know, kind of like a 0809 Redux, but here's the deal, guys.

Everybody's sitting around waiting for that and they've been waiting for it for 15 years. And there's a very good explanation for why it hasn't happened yet. All you got to do is print the money and fill in the hole. People are like, so you're saying you could do that forever and not get away with it? No. Why do you think gold's at 4,500? Why do you think Bitcoin's where it's at? Why do you think the stock market's trading at 33 times earnings? Why do you think SpaceX is at 2 trillion? Why do you think nobody can buy a house? Yes, these are the consequences. They're just not the consequences you're used to looking at. The sad thing about these consequences is that there aren't enough people to fix them, or there aren't enough people that want to fix them. Meaning, when you've got unemployment at 11% or 12%, and you've got a stock market that's down 65% off its highs, those problems are going to get addressed. I didn't say they're going to get fixed, but they're going to get addressed. The reason why is there's too many people that have skin in the game, right? There's too many votes to be lost by not addressing them. There's too big a political price to pay for not taking action. But the issue that we currently find ourselves in is much different. And again, one of the things I'm starting to look at is global liquidity. And I know that you follow a lot of Michael Howell's work. But How are we looking? I know you've been keeping an eye on it. We haven't talked about it on the show in quite a while. But starting to see some different charts circulating around that we're starting to see a surge in global M2 again, maybe a surge in global liquidity. You and I haven't talked about it too recently. But where are we at on that stuff? And have you been keeping an eye on it? Yeah, it hasn't been that strong of late. And I'm not showing it as like suddenly popping off to the upside either.

He thinks we're in the back half of the cycle, like to where it gets to the point you should be cautious. Now, obviously, you know, if something like the Treasury, if the Treasury really did throw the TGA at the yield curve, like that would be a different story. Like that's a lot of liquidity. Now, they're not doing it yet. They're just talking about it, but that would be a different ball game. So to this point, not really... a bunch of upside, but it definitely hasn't had any downside or anything. It's just been sideways to an upward grind. It's just enough, but not to where you would expect a massive jolt to hit trash. You wouldn't expect Bitcoin to double in the next three months or something. We've had a nice little run here on metals and stuff because of the treasury, but I find it important to note that Since, since drugs op ed, he has actually, Besant has actually kind of tried to put some of that toothpaste back in the tube. So a lot of this like liquidity proxy, Rippage we've had and, and metals and Bitcoin stuff is starting to feel a little, like we should be a little cautious with it because he kind of, he has gone out of his way to not, not like say like, oh, we're not going to do any of that, but to, but to like really hedge.

the forcefulness they came out with at one point. So I think that's worth mentioning. So it's not really particularly good or bad right now for global liquidity. What gets important is that debt rollover cycle is kind of the new cycle. There's a lot of debt that comes due in the next couple of years that will have to ratchet to higher rates. So that's where the liquidity cycle gets problematic. So they either do find a way to add a bunch. Or, yeah, you probably do have some downside problems for those types of assets. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. Odd finish for us on the day, man. We started off really strong. I don't know if you saw our finish. I'm talking about personal business here on the podcast. But we finished up like .6. We drifted down on the day.

while miners did better, got stronger throughout the day. We drifted down on the day while the market went the opposite direction. I was kind of surprised by that. Yeah, same. This is one of those where you look at it and

you're like, I don't really see what even drug is down or anything. Like most stuff was pretty decent. We had one decent size down, but even that, it's not like a big position or anything. So yeah, a little weird. I am watching our market. I'm watching our portfolio in the market acting like they're like magnetically drawn together. The delta between them is just collapsing. And the interesting thing about it, and again, we've seen these short periods of times. I'm not trying to make too much of it. It's just really weird to see because you look at the composition of our portfolio is so much different than the market. And it just feels...

I'm not really sure what that's telling me or if it is telling me anything. Our correlation is always to the dollar. So the dollar being, being, uh, down heavily and us not being up heavily was, was interesting. That was a bit of a correlation break. But I will say, uh, when it comes to that though, and you see, you saw a lot of correlate. Yeah. You saw a lot of correlations. It'd be kind of weird. I think it's because the dollar was down almost exclusively because of the end. If you look at it, like it was down like 0.3 against the euro and stuff, not the big deal. Um, But because it got smoked by yen strength, it's just a different ball game. Speaking of breaking business news here, we bought a little Japan today. Yes, sir. Yes, sir. With that yen move, it started to look a little better. So it was time to at least put on the starter position and see what it does. Well, and then going back to our value and fundamental discussions, I mean, the other nice thing about that is if you're early on that, All you got to do is pull up the performance of the market over the last 40 years. If you didn't catch a good entry position right here, you don't have to have any sleepless nights worried that you own too expensive. You know what I mean? You didn't buy a bunch of securities priced to perfection. Another interesting one though, one that you can't, I did notice today, as much as the value, like I said, I've always been attracted to snow as a company. I don't know a whole lot about them, but love their metrics Love the growth that they put up. It's just I just never able to wrap my hands around that that valuation that being said Now You know everybody should be aware of my advanced technical skills, which is they are advanced now. By the way, I'm not sure if you knew that But it did look like a pretty interesting rook chart might be forming on Snowflake. Did you take a look at that? It already was one. It's back to its highs. So, funnily enough, I actually had that in the technical book. It got stopped out and then

went on its rampage. That's one of the ones that's super annoying. And it's a software company, obviously. There are a lot of software companies with really, really nice that the chart pattern that I love so much. Like Zoom is a really good example of, man, the chart is just glorious, honestly. Really? I haven't looked at that one in a long time. Yeah, ZM, it is, it's lovely. Let me take a little peek of this while we're looking at it. Wow. You want to know a funny one about this, 98. Now maybe they've had splits or something like that since then.

I remember buying Zoom at a breakout right at the beginning of COVID, right at the beginning. Because you and I were kind of in a different spot because we went into COVID so hedged up that we were looking for opportunities to play it from the long side on a bounce back. And I think we bought it right around this same level like 98. And then I freaked out and lost my stomach at like 115 and just rung the register on it and packed. And I don't need to pull up the chart on that thing, but it's based for four years and it's starting to break out slowly. But yeah, yeah, we got it right. I got it picked it up right around the 90s. There it is. Yeah. February 15 right in the 90s. And then sold it at 115 because it was so expensive. It was moving up quick, you know, Mr. Value and just tell you how good that was.

Over the next four months, it went from 115 where we sold it to about 600. So there you go. Got her in the technical book at 7993. So decent, decent so far. Boy, that's a good buy. It's not hit a trim level yet. That always makes me feel a lot better whenever you get up there and get some off. That's a good buy. Hey, what, what do, uh, any, any notable news anywhere else in the economy today? Do we have any, uh, economic data coming out? That should be, they should add some. So. A few things, the one that really stood out to me though, you got the services ISM, which was good. But the notable to me, the prices paid in there, the kind of look into inflation was like the highest in four years. So it's ripping higher. So it's just another sign to me that the inflation is spreading, especially since that's the services ISM, not the manufacturing ISM. So it's more evidence to me that you're going to see the spread into core inflation. And we had We had Waller out today, giving a speech, which was pretty dovish, you know, making the argument that underlying inflation's coming down and still looking good. And, you know, we probably, unless this print is really hot, like we probably don't

have to hike. And, you know, JD Vance came out and said they should cut because inflation is so low. And like, it's a, it's a, it's a, it's a weird time to watch people talk about this stuff. When you just look out the window and you see what inflation is actually doing, like diesels, you know, about to about to put in a new all-time high and people are talking about how inflation's chill, but yeah. Yeah, it is a strange day. It is strange time to be alive, that is for sure. May you live in interesting times, right? We can certainly check that off the box. It does appear to... It just feels like everything is just kind of traded in a tight range over the last...

since the little dust up in Iran has happened. I think U.S. markets right now are pushing right back to their highs on the year. Aren't we sitting right there? S&P's pretty close, but I mean, the Q's haven't put in a new high in three months, and they're still in a 4% drawdown. Oh, really? Did they get up that much on the year? Because we're up 17% on the year. Were they up 21 at one point on the year? June 3rd was the all-time high, and they're 4% below that. God, man, I really feel like a lot of people don't recognize like that. For the last three months, the market hasn't been that great. Now, you have Mag7 do what it does today for a few more days and you're going to be okay. But yeah. And to that point, Mag7 is actually like kind of right back to its highs, which is, which is notable because it had, you know, 10% drawdowns, you know, not that long ago.

Yeah, that that one I you know I'll be interested I mean we've watched that one just trade in a range here for quite a while now I will be really interested if it breaks out I if it breaks out You know obviously you got to see what the news is I Again, I'll just throw that. I mean if you want to load up on make seven here have a ball I just I'm just not tracking the narratives anymore. I mean You're pushing those PE ratios back up to the level that kind of maxes, you know, where a lot of these things have traded, that has proven to be kind of the top end of their range. They're not performing at those levels. They're taking on massive amounts of liabilities in the balance sheet, which we've talked about ad nauseam.

But again, it doesn't matter. And it doesn't matter until it does. And at some point stocks will quit being a liquidity gauge and will start being a value, you know, will start reflecting underlying valuation. And like I said, you see

plenty of signs of that. I mean, this is not a 2018 market. You know, the money has spread out quite a bit, but there's just a lot more to go. You know, that's kind of the weird part about this is I, you know, go look at, go look at international indexes breaking out against the US over the last two and a half years. We've talked a lot about that. Go look at a lot of the commodities, the precious metals, there's so many other things. And, and so yeah, it has broadened out yet at the same time you go back and you go look at US indexes, there is top heavy as they've ever been, right? Especially now when you include chips. I mean, chips and tech put them in together. What are we at 65% waiting in the S&P?

I don't know because chip's basically our tech, but you're something like that. It's like 60. Yeah. Yeah. I thought we were right around like 60, 65%. Well, the distinctions I should have put was tech and chips combined with communications, right? Yeah, there you go. Yeah. Those it's like 56% and it's like 80, 80, 90 for the NASDAQ. Yeah. So you can't hide from it in the index level. Yeah. So things have spread out to some degree. yet you still have this, you know, record over waiting that in a weird way, even as things continue to spread out and percolate the concentration and the top heaviness of the, you know, I mean, you're as top heavy now as you've been at any time. So, you know, how far can it go? I don't know. It's pretty, it's pretty, you know, if you would have told me that those sectors three years ago would now be 60 or 65% the weight in the S&P, I probably would have been like, Eh, that seems like a bridge too far. I'll take the under probably, right? You know, now you get here and you're like, I mean, you know what I mean? Like, maybe, maybe, maybe you go to 80. You know, I, why not? Certainly, certainly not impossible. Yeah. If the AI takes another five years to like, yeah, the earnings will be there. The, you know, the, the market cap will probably be there. So.

I wouldn't be shocked, but that would just make me that much more. It's just unfortunate because right at the time everyone knows that everyone knows you should just buy an index is the time the index is like becoming a weapon of mass destruction, potentially obviously. Well, no, no, no, at some point guaranteed. like meaning because because you're not like and again this has been true for a while that it keeps getting in my opinion more pernicious more dangerous because those excesses keep you know growing

on on themselves but um I honestly think that you've gotten to a point where if you're out there preaching you know indexed ETFs in the S&P 500 like you were seven years ago I think that that's incredibly irresponsible because you're not buying, you're not getting anything close to what the S&P has been historically, nothing. So when you sit there and you play on that whole get your 11.5% a year, I'm looking at you and going from where? This index composed anywhere close to what it's composed like doesn't have a track record. There are no historical comps. There aren't any. And so I don't really know what you're buying.

I don't know, you know, the whole idea of buying an index fund was buying the entirety of the US market. If you're buying an index fund today, that's not what you're doing. I mean, right? Like, that's not me saying it's not going to work. That's not me saying that we're going to continue to outperform. I don't know, right? But what I'm saying is you ain't buying the thing that's made 11.5% over the last hundred years, right? You're just not. You're buying something that's just. completely different. Now, could you use ETFs to build a portfolio? And you could probably do it with only like three or four. Yeah, they closely resembled the makeup of the market historically. Or just, or at least just buy the equal weight S&P instead of the cap weight S&P. There you go. Yeah. Right. That would, that would, that would get you a way back closer. The average 401k is like, do you want the S&P or the S&P? You know what I mean? So.

Yeah, or the cues, right? I mean, let's, let's, let's skip the mixer and go straight with the gin. You know what I mean? Do you want to go overseas and just buy TSMC and SK hynix? This is a lot of the international funds you'll, well, or even cap weighted like that. If you're, I mean, if you're, if you're into fundamentals, like boring guys like me, that's what you'll go do, right? Is that an AI or East Asian AI? Your retirement's got to roll on one. You pick. Yeah. You got it. Yeah. It's one or the other. And we don't diversify here, right? So you got to go big or go home. Nah, man, it's certainly an interesting map. That's for sure. We could do another session on straights of our lives. Nothing there to report as far as I'm concerned, except just more.

If you can pull signal out of all the noise coming out of this administration, tip of the cap to you, I can't. So I don't really have any updates on that side of it. Good move in uranium. How are we looking in uranium? Are we anywhere significant on the charts, sir? It's been a little up and down lately. Felt a little crooked-wish. It's been very volatile, yeah. It'd be like four to seven percent days almost every day lately. The 56.73 line for URNM is big, and we are kind of like... pressing it right now. So like the fundamentals look good. The actual price of uranium has been picking up. The supply and demand looks decent. You're still in a pretty nice drawdown from the kind of like blow off peak in January. So I think it looks constructive here. And to the point, you know, I was making earlier with Russia, like if this thing gets weird between NATO and Russia, or more weird, I should say, There's the potential that we don't import all the uranium we plan to import from Russia for the next whatever that is now, 15 months until we technically stop. So there are some potentialities that could tighten the market up too, but even if that doesn't happen, like just the fundamentals are starting to look pretty good. And, you know, we're going to draw down. We've been kind of sideways for months. Like it is an area I like.

Oh yeah, I like it. I just, the problem is, is it gets a meme to occasionally sort of like the, the gold mining stocks at the beginning of this year. We're just like, God dang it guys, not, not, not too, you know, like we've said before, it's so weird. It has been a fan club for a decade. Yeah. And it feels like you're bidding against yourself, but you just don't want to watch those things go parabolic. I was talking to one of our good clients and clienteers, clientable working in Pinecone Macro yesterday. And, you know, he was saying the same thing. He's like sitting there going, no, no, no, no, don't go parabolic again. We were talking about a couple of miners. And I was like, yeah, I know, I don't want to have to go hunting for something else. But, you know, that's this market. If something starts moving, you know, it's like, it's, it's, you get something that starts moving. It's like, it's like fishing and like a, like a trout pond where they haven't been feeding the fish. You know what I mean? They see that movement and everybody just starts chasing it and it gets too hot to, I mean, we've had that, we've had to pull off exposure on uranium.

so many freaking times. I mean, we've ridden that thing up and, you know, cut it. I don't expect anything to change. You got anything else, man? It kind of a quiet day. I don't really have anything else. A little bit more on the Russia thing. If you look at the last 48 hours, they hit a Coca-Cola plant in Ukraine, which is obviously a signal to us. But there's been a lot of sabotage and basically terrorism. taking place in Germany specifically, going after power plants, substations, moving power, a train station. They foiled a few plots inside of that. There was a drone at an airport that had explosives on it. It's pretty clear that they are starting to move into the gray and very dark gray realm of this hybrid warfare.

Hiring locals to do stuff for them where they have the plausible deniability that what it wasn't us, you know But where they are starting to do and there's been sabotage on arms facilities, you know weapons plants throughout Europe the last few months But but the last 48 hours this whole this thing's like taking on a new form as they start to do sabotage in Germany especially The fact that this comes on the heels of the CIA director taking an unscheduled military aircraft trip into Russia is just, I think it's worth keeping an eye on. And I think it's probably worth just some small little hedges in case this thing gets weirder. For us, you know, luckily we already have one of the hedges on with our European defense stuff that we have, but back to that Palladium side, that next pullback in Palladium is one probably should get bought just as a, as a Russia hedge because they, you know, post half the world's production.

Yeah, and at least for now too, I think oil is still a hedge for that whole scenario too, right? And it's funny you bring that up. Again, we haven't discussed this, but I agree with you. I can't point to anything other than it being anecdotal. I can't point to anything other than just being spidey-sense, if you will. But it does feel like to me that the potential for bad turns or bad developments in the Russia-Ukraine thing, it just feels more likely. It just feels like you're getting to this point where it has to break out for lack of a better term one way or the other. And, you know, when you're just looking at the map, looking at all the different players, you know, your fingers crossed, man, you know, that good. It's the serious stuff for me. Yeah, there's I mean, there's look, I have no idea what I, you know, I think this board is as complicated as any I've seen, but.

You know, I've heard rumors about people thinking that Russia's about ready to invade Poland. I don't, I don't understand why that would, why they would do that. It doesn't make any sense to me. Then again, like I said, I kind of feel like Daryl Cooper where I'm sitting there going, but I'm the guy that said there was no way we were going to make a move on Iran. So, you know, I don't think they're going to evade anything, but I, but I think you're going to see the intensity of these sabotage attacks and like little terror attacks and stuff ramp. They'll try to keep the deniability. I'm surprised it's in Germany and not, not the UK, honestly.

I fear it will come to the UK because of the help the UK is giving Ukraine in the war. So it's one of those things where like there's enough deniability where you know that NATO is probably not going to like really do a whole bunch, but you can get your point across and degrade things. And so it, I think the biggest reason for me that it's, that it's front and center is because the market doesn't care. And if the market cared, I would be like, whatever, like the markets, but no one's, no one's talking about it. No one's thinking about it. I mean, let's be honest, this market doesn't care about much. I mean, it just, it just doesn't, part of that's the doldrums of summer. Part of it's just this market. You know what I mean? I, it just, this market, it's, it is not, it is not your grandfather's market. So anyway, that does it for me, man. You got anything else? No, good to go.

All right, you guys, as always, you can follow both of us on X. I'm at KYR radio, Chase's at Pinecone Macro. And as always get the video feed on YouTube, just search Know Your Wrist podcast. You guys know the drill. Find us on any podcast website. Anyway, have a wonderful evening. We'll see you guys tomorrow. You're listening to Know Your Wrist podcast. Download and subscribe at knowyourwristpodcast.com. Investment advice cannot be given without a client service agreement. Zach Abraham is an investment advisor representative of Trek Financial and SEC Registered Investment Advisor. Bollard Capital Management is a marketing name only and does not carry a separate registration.